

Document 19. Monetary Policy — MAS exchange-rate-centred framework

Topic overview. Monetary policy adjusts the cost / availability of money to influence AD. Most central banks target an interest rate; Singapore is unusual in targeting the exchange rate. The contrast is one of the 9570's most reliable essay questions.

Section A. Definitions

Interest-rate-centred MP	Central bank targets a short-term policy rate (e.g. Fed Funds, ECB main refi).
Exchange-rate-centred MP	Central bank manages the exchange rate; interest rate becomes endogenous.
Transmission mechanism (interest rate)	$r \uparrow \Rightarrow C \downarrow, I \downarrow, (X - M) \downarrow$ via appreciation $\Rightarrow AD \downarrow$.
Transmission mechanism (exchange rate)	Appreciation $\Rightarrow$ import prices fall (SRAS $\rightarrow$); $(X - M) \downarrow$ (AD $\leftarrow$).
Zero lower bound	Nominal interest rates cannot fall meaningfully below zero.
Quantitative easing (QE)	Central bank buys long-term assets to expand the money supply when rates hit ZLB.

Section B. Question Type 1: Explain the interest-rate transmission mechanism

- Step 1.** Central bank lowers policy rate.
Step 2. Market interest rates fall.
Step 3. $C \uparrow$ (mortgages, credit cards cheaper).
Step 4. $I \uparrow$ (cost of capital falls, more projects with positive NPV).
Step 5. Currency depreciates (capital outflow); $(X - M) \uparrow$.
Step 6. $AD \rightarrow AD_1$ rightward; multiplier amplifies.

Section C. Question Type 2: Why MAS uses exchange-rate-centred MP

- Step 1.** Apply impossible trinity: with a free capital account, Singapore cannot fix the exchange rate AND have an independent interest rate.
Step 2. Identify Singapore's structural features: small, very open, high import content (~40% of expenditure).
Step 3. Argue: the exchange rate has the largest leverage on $(X - M)$ and on imported inflation via SRAS.
Step 4. Note interest-rate ineffectiveness: SORA tracks US rates; domestic C and I are not interest-sensitive enough to matter.
Step 5. Conclude: exchange rate is the optimal nominal anchor for Singapore.

Section D. MAS Operating Framework

- **Operating target:** S\$NEER (trade-weighted basket).
- **Policy levers:** slope, width, centre of the band.
- **MPS cadence:** April and October Monetary Policy Statements; occasional off-cycle (Jan 2022).

- **Goal:** medium-term price stability conducive to sustained growth.

Section E. Question Type 3: Limitations of MP

Limitation	Mechanism
Zero lower bound	Conventional rate cuts ineffective once $r = 0$.
Interest insensitivity	In recession, C and I may not respond to lower rates (Keynes' liquidity trap).
Asset price bubbles	Loose MP inflates asset markets.
Hot-money flows	Open capital accounts amplify exchange-rate volatility.
Time lag	12–18 month transmission to inflation.

Section F. Worked Examples

Worked Example 1: Compare MAS to the Fed

Q. Why does MAS not target an interest rate as the Fed does?

Singapore is small and very open: trade is >300% of GDP, import content is high. The Fed's structure works because the US is large and relatively closed — domestic demand is interest-sensitive, exchange-rate spillovers are second-order. For Singapore the opposite is true. Adopting Fed-style policy would force Singapore to choose between fixed rates and capital controls; MAS's hybrid solves this elegantly via a managed float.